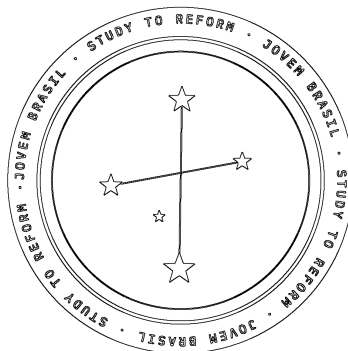


Brazil's Private Credit Market: Modernized for Crisis, Not for Prevention

Has the explosive growth of Brazil's private credit market, in which debêntures, CRIs and CRAs are increasingly sold to retail investors through open-ended funds, outrun its regulatory framework, creating a liquidity-mismatch fragility that a stress event would expose?

Jovem Brasil – Max Cunningham

Peer reviewed by Alanna O'Donnel



Introduction

Brazil's private credit boom has become too large to be treated as a simple niche concern. In 2025, fixed-income issuance in Brazil's capital markets reached R\$737.7 billion, driving total offerings to a record of R\$838.8 billion (ANBIMA, 2026b). Nearly 1 million retail CPFs now hold this corporate debt directly, with custody of around R\$446 billion (B3, 2026). But what makes this odd goes beyond its scale. Some AAA incentivized debentures have traded as much as 40 basis points below equivalent government bonds (InfoMoney, 2025; Itaú, 2026), suggesting that tax treatment and distribution demand are the real drivers behind this growth, and not based on proper credit risk management. A lot of this credit sits in open-ended funds promising daily liquidity against OTC corporate bonds, a promise that only holds until everyone wants their money at once.

CVM Resolução 175 gave funds modern crisis tools, including gates and side pockets (CVM, 2022), and ANBIMA's February 2026 technical guide aligned domestic practice with IOSCO's liquidity management agenda (ANBIMA, 2026a). But the framework has advanced more on crisis response than on real prevention. Redemption terms are still not systematically matched to asset liquidity, Brazil lacks routine price-based anti-dilution tools such as swing pricing (FSB and IOSCO, 2023), and retail distribution has outpaced disclosure of what the FGC does not cover (FGC, n.d.). Americanas, the 2024–25 repricing and Banco Master challenged Brazil's system and show how the 'rulebook' handles emergencies well but is poor in preventing them.

Anatomy of the Boom

The boom's speed matters as much as its size. In 2024, debenture issuance set a record, before being pushed even higher in 2025 to roughly R\$490 billion (ANBIMA, 2026b). But the secondary market rose even more aggressively as debenture trading rose 33.9% in 2025 to R\$947.4 billion, roughly twice the volume of primary issuance (ANBIMA, 2026b). Yet the most important channel was the fund industry because credit funds captured 61.2% of the total net inflows through August 2025 (ANBIMA, 2025). Retail participation also grew quickly as the number of individual holders rose 13% in a year, while custody rose 25% (B3, 2026). The

market was not only bigger but faster, as it became increasingly intermediated through funds connecting corporate credit to new retail money.

Four engines explain this increase. First, the Selic cycle which had peaked at 15%, highest since 2006, pulling households towards high-yield fixed income and pushing companies away from expensive bank credit and toward market funding (Banco Central do Brasil, n.d.). Second, tax exemption kept the trade attractive as MP 1.303 tried to tax LCI, LCA, CRI, CRA and incentivized debentures, but the Câmara rejected the measure in October 2025 by 251 votes to 193, preserving the subsidy (Câmara dos Deputados, 2025). Third, the 2023 ‘come-cotas’ change on exclusive funds accelerated wealthy money into credit-funds (Brasil, 2023). Finally, platforms made distribution much more efficient and faster, making private credit as easy to buy as ordinary savings products. Most telling was the emergence of zero-premium debentures, known as “carecas”: bonds sold not because investors are paid extra for corporate risk, but because the tax exemption makes them work (InfoMoney, 2025). A market priced by policy, held by newcomers and redeemable daily is only stable until stress tests the promise.

The Mechanics of the Mismatch

The mismatch begins with the design of an open-ended fund. Redemptions are met from cash buffers or asset sales, and the exiting investor receives that day’s NAV. The fragility in this case is caused when portfolios hold OTC corporate bonds, where trading is dealer-to-dealer and negotiated rather than guaranteed by a central order book (FSB and IOSCO, 2023). Due to this, liquidity becomes procyclical, being abundant when few investors need it, and scarce when many do. Under pressure, managers sell the most liquid holdings first, leaving remaining quota holders with a weaker, less liquid portfolio.

This causes the system to spiral driven by rational decisions alone. The first person to withdraw gets out at today’s price. But as the fund sells bonds to pay everyone, prices fall. Late movers absorb the mark-down. IOSCO treats this first-mover advantage as a central vulnerability point of open-ended funds as it punishes the patient investor. A loop unravels as redemptions force sales into a thin market, forced sales lower prices, lower prices reduce NAV, and a falling NAV encourages more redemptions (FSB and IOSCO, 2023). This reflects the same individually rational but collective destruction that once broke money-market funds in 2008.

Retail deepens the fragility because investors think ‘renda fixa’ means stable income, but they’re actually holding risky bonds whose prices swing daily and only become apparent when

the market crashes. Bank products such as CDBs, LCIs and LCAs are protected by the government up to R\$250,000 if the bank fails. But corporate bonds such as debentures, CRIs, CRAs and the mutual funds that hold them have zero protection so if they fail, their investors lose everything (FGC, n.d.). Segregated custody protects you against intermediary failure, but it doesn't protect you against the underlying credit deteriorating. Institutions have mandates, risk teams and memory of past cycles, but retail investors don't. A mismatch is only theory until stress arrives, and so far, Brazil's three stress events have each challenged the system.

Three Partial Stress Events

Americanas was the first case to test the system's stability. On 11 January 2023, the retailer revealed a R\$20 billion accounting hole, forcing immediate repricing of debt treated as high-grade (TradeMap, 2023). Debentures were marked to 50% of face within a day, then 25%, then 10%, then zero. Exposed funds faced roughly R\$7.5 billion in net redemptions in the first week (TradeMap, 2023). Nubank's flagship emergency-reserve fund posted its first-ever loss, with 18.6% of its assets withdrawn by investors (IstoéDinheiro, 2023; TradeMap, 2023). Some managers blocked applications and redemptions while provisioning, before CVM 175's tools existed.

Starting in November 2024, as the economy weakened and interest rates kept climbing, investors got scared and withdrew R\$40.6 billion from credit funds in three months. High-grade names that had traded around CDI+3% widened to as much as CDI+9% (NeoFeed, 2025). The entire credit category repriced in real time. Massive redemptions hit, prices dropped, but there was no panic spiral. Funds didn't need emergency shutdowns. Defaults didn't cascade. The tax incentive kept the market functioning.

Banco Master presents the only live observation of Brazilian retail fixed-income holders facing genuine failure, in the part of the market covered by the FGC. Banco Master's November 2025 collapse triggered the Banco Central's largest-ever bank liquidation, stemming from Master's strategy of luring retail deposits through apps by promising above-market returns (Barbieri Advogados, 2026). The total FGC bailout was R\$51.8 billion. Despite the scale, the reimbursement began within two months, and by mid-February, 92% had been paid to 653,000 investors (Barbieri Advogados, 2026). This reveals what can be referred as the FGC paradox, when working visibly their safety net actions convince retail investors that fixed income gets paid back, but debentures, CRIs, CRAs and credit funds have no such guarantee. If the credit deteriorates, unlike Banco Master, there's nothing to protect the investor.

Crisis Tools vs Prevention Rules

After the three partially stressful cases of Americanas, the mass repricing of 2024–25 and Master, the question is whether Brazil's rulebook can tank a full stress event. CVM Resolução 175, since October 2023, gave managers two tools. Gates, that let a fund cap how much money flows on a given day. Side pockets that separate assets that can no longer be priced fairly, to allow the portfolio to maintain operation (CVM, 2022). ANBIMA's February 2026 guide explained how to use both, with a conservative philosophy as side pockets are for exceptional events, and gates cap daily redemptions while allowing possible shutdowns to remain clear (ANBIMA, 2026a). The improvisations done by managers during Americanas were not ignored and were formalized. This built Brazil a credible crisis 'toolkit'.

The international bodies FSB and IOSCO tackle these problems before it destabilizes, by stating that funds should categorize assets by liquidity, thus if a fund holds illiquid bonds, they can't promise daily redemption. Daily withdrawals are only for genuinely liquid holdings. They also prioritize the use of swing pricing to adjust the exit price so the investor who leaves pays the liquidity cost their own exit creates, thus eliminating the 'first-mover advantage' (FSB and IOSCO, 2023). Every fund must stress-test its liquidity. The global standard stops the mismatch from forming while Brazil's toolkit is an effective response for after the mismatch breaks.

But this leaves three crucial issues. Brazil's crisis tools are discretionary and stigmatized meaning a manager who gates redemptions is also signaling distress and risks triggering the panic that needs to be contained. The mismatch also remains legal as funds can still promise daily liquidity on illiquid bond portfolios. And there's no joint stress test between the Banco Central and CVM, even though the Banco Central warns both are becoming increasingly linked, as banks lend to fund managers, managers hold bank paper (Banco Central do Brasil, 2025). A shock to one spreads to the other. In April 2026 this blind spot was exposed when the FGC paid R\$51.8 billion to rescue Banco Master (Barbieri Advogados, 2026), regulators acted fast but only to fix the bank side of the problem, while they left the funds untouched. With new risk rules, higher costs for FGC-reliant banks, and liquidity requirements for mid-sized banks (Agência Brasil, 2026), regulators moved decisively, but only for the banks. The funds received guidance, not mandates revealing where the system's actual priorities lie. Under pressure from

a genuine crisis, Brazil's regulatory response hardened the protected market while leaving the unprotected market to manage itself. Brazil's rulebook handles emergencies well, but the rules that would prevent emergencies were never written.

Conclusion

Brazil's private-credit market has not failed its tests. Americanas, the 2024–25 repricing and Banco Master each brought stress without a systemic break, and the rulebook improved after the first shock. But the central fragility remains; funds still promise daily liquidity on bonds that cannot be sold daily, a million retail investors have never been through a full credit cycle, and the post-Master reforms hardened banks while leaving funds on guidance. Fragility unproven is not fragility absent.

The fixes follow directly from the three gaps. First, the CVM should match redemption terms to what funds hold, ending daily redemption for portfolios built on illiquid OTC bonds. Second, swing pricing should be written into regulation for routine use, so the cost of leaving falls on the investor who leaves, a quiet price adjustment instead of a gate that announces panic. Third, the CVM and the Banco Central should run joint stress tests across banks and funds, and platforms should be required to state in plain language what the FGC does not cover. These reforms would trade some convenience for stability, and they would not stop credit losses, nor should they; they would stop a credit loss from becoming a liquidity run. With interest rates falling, an election year adding fiscal risk, and a wall of corporate debt coming due, the real test may arrive before the rules do.

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